

EQUITY RESEARCH INSTITUTIONAL NOTE

TICKER: NASDAQ: UPST | PRICE: \$44.96 | MARKET CAP: \$4.41B | RATING: AVOID / HIGH RISK
COVERAGE: Fintech & AI-Driven Lending Desk | DATE: September 2026 | ANALYST: Automated Equity Research Desk

1. EXECUTIVE INVESTMENT THESIS

We initiate coverage on Upstart Holdings, Inc. (NASDAQ: UPST) with an AVOID / HIGH RISK rating. While Upstart's topline re-accelerated to \$1,043.9M (+64.0% YoY) and reported GAAP net income inflected to \$+53.6M (ROE +6.71%) in FY2025, the underlying balance sheet has relapsed into financial fragility: operating cash flow flipped negative to **\$-147.7M** (creating \$+201.3M in non-cash accruals), total debt reached an all-time high of **\$1.39B**, and the **Adapted Altman Z-Score slipped back into the Distress Zone at 1.71 (< 1.81)**. Trading at an extreme valuation of **82.3x P/E** and **4.22x P/S** (an 83% premium to the peer median), the equity market is pricing UPST as a capital-light software platform rather than a balance-sheet-constrained lender vulnerable to liquidity and credit headwinds.

2. STEP 0 EMPIRICAL AUDIT: THE "TURNAROUND" IS BIFURCATED & INCOMPLETE

Our automated pipeline evaluated Upstart's complete longitudinal trajectory (FY2021–FY2025) across operational ratios, capital structure, and forensic anomaly models. The data reveals that the assumed "clean recovery" from the 2022 Fed rate shock is heavily bifurcated between income statement metrics and balance sheet reality:

Upstart Holdings (UPST) — Historical Trajectory & Forensic Model Audit

Metric / Indicator	FY2021 (Peak Bubble)	FY2022 (Rate Shock)	FY2023 (Trough)	FY2024 (Offloading)	FY2025 (Re-acceleration)	Forensic Signal & Sector Interpretation
Revenue (\$M)	\$848.6M	\$842.0M (-0.7%)	\$513.6M (-39.0%)	\$636.5M (+23.9%)	\$1,043.9M (+64.0%)	Topline recovered beyond 2021 levels.
GAAP Net Income (\$M)	\$+135.4M	\$-108.7M	\$-240.1M	\$-128.6M	\$+53.6M	First profitable year since 2021.
Operating Cash Flow (\$M)	\$+168.4M	\$-657.9M	\$-111.7M	\$+186.3M	\$-147.7M	RELAPSED NEGATIVE: GAAP profit unbacked by cash.
Accruals Ratio (TATA)	-0.018	+0.284	-0.064	-0.133	+0.068	\$+201.3M non-cash accruals (+6.8% of assets).
Total Debt (\$M)	\$868.5M	\$1,029.0M	\$1,059.2M	\$1,154.5M	\$1,385.4M	All-time high leverage (\$1.39B total debt).
Total Liabilities (\$M)	\$1,013.8M	\$1,260.4M	\$1,377.9M	\$1,733.9M	\$2,175.7M	Liabilities expanded +25.5% YoY in FY25.
Shareholders' Equity (\$M)	\$807.4M	\$678.9M	\$638.1M	\$633.2M	\$798.8M	Dilution & stock comp rebuilt equity buffer.
Interest Coverage	+14.28x	-10.50x	-7.35x	-2.03x	+1.26x	Thin safety buffer; down from 14.3x in 2021.
Return on Equity (ROE)	+16.78%	-16.16%	-37.80%	-20.31%	+6.71%	Positive accounting return on equity.
Return on Assets (ROA)	+7.43%	-5.60%	-11.90%	-5.43%	+1.80%	Thin balance-sheet return on assets.
Growth Divergence	N/A (\$t_0\$)	+300.9%	+53.5%	-54.2%	-41.9%	Normalized as revenue outpaced loan buildup.
Beneish M-Score (Adapted)	N/A (\$t_0\$)	+1.28 (ELEVATED)	-2.44	-3.37	-2.04 (Low Risk)	2022 flag captured \$+300%\$ receivables surge.
Altman Z-Score (Adapted)	8.51 (Safe)	0.72 (Distress)	1.39 (Distress)	2.24 (Grey)	1.71 (DISTRESS)	RELAPSED INTO DISTRESS ZONE (< 1.81).

- The 2022 Rate Shock Deconstructed:** When the Federal Reserve hiked interest rates in 2022, Upstart's loan buyers halted commitments. Net income collapsed to \$-108.7M and operating cash flow burned **\$-657.9M**. Loan receivables surged +300.2% (from \$252M to \$1,010M) as loans became trapped on Upstart's balance sheet, triggering our module's **Growth Divergence warning (+300.9%)**, an **Adapted Beneish M-Score of +1.28 (Elevated Risk)**, and plunging the Adapted Altman Z-Score to **0.72 (Distress Zone)**.
- The 2024 False Dawn:** In FY2024, Upstart offloaded trapped inventory, driving receivables down -30.3% (\$1,156M to \$806M), producing \$+186.3M in CFO and an Accruals Ratio of -0.133. This pushed the Adapted Altman Z-Score into the **Grey Zone at 2.24**.
- The 2025 Relapse:** While FY2025 revenue surged +64.0% to \$1,043.9M, Upstart again expanded balance sheet commitments: loan assets grew +22.1% to \$985M, total debt rose to a record **\$1,385.4M**, and CFO flipped back to **\$-147.7M**. As a consequence, the **Adapted Altman Z-Score relapsed to 1.71 (Distress Zone)**.

3. SOLVENCY & BALANCE SHEET FRAGILITY ANALYSIS

The Adapted Altman Z-Score demonstrates why equity investors are taking disproportionate downside risk: - **Cash Liquidity Squeeze (\$X_1\$)**: Cash & equivalents dropped from \$788M (FY24) to \$652M (FY25), reducing the Cash/TA liquidity buffer from 0.33 to 0.22. - **Accumulated Deficit Drag (\$X_2\$)**: Cumulative operating losses left Retained Earnings at **-\$358M** (RE/TA = -0.12), depressing the baseline solvency score. - **Leverage Acceleration (\$X_4\$)**: Total liabilities expanded by **\$441.8M (+25.5% YoY)** to \$2.18B. Market capitalization fell from \$5.93B to \$4.41B, driving the equity cushion (MVE/TL) down from 3.42x to 2.03x. - **Tenuous Coverage**: Interest coverage of **+1.26x** (EBIT of \$98.1M vs interest expense of \$78.0M) provides minimal insulation against higher credit charge-offs or funding rate adjustments.

4. RELATIVE VALUATION: EXTREME MULTIPLE PREMIUM VS. PEER GROUP

We benchmarked Upstart against all 8 publicly traded peers in our fintech and specialty lending coverage universe:

FY2025 Relative Valuation Multiples & Capital Structure Comparison

Ticker	Company Name	Market Cap (\$B)	Revenue (\$M)	Net Income (\$M)	Shareholders' Equity (\$M)	P/S Multiple	P/B Multiple	P/E Multiple	Solvency Profile (Z-Score)
AFRM	Affirm Holdings	\$21.96B	\$3,224.4M	\$+52.2M	\$3,069.0M	6.81x	7.15x	420.7x	Distress Zone (Z = 1.65)
ENVA	Enova International	\$3.94B	\$3,151.7M	\$+308.4M	\$1,336.7M	1.25x	2.95x	12.8x	Distress Zone (Z = 1.62)
LC	Happen Inc. (LendingClub)	\$2.22B	\$961.5M	\$+135.7M	\$1,500.4M	2.31x	1.48x	16.4x	Distress Zone (Z = 0.34)
OMF	OneMain Holdings	\$8.00B	\$5,455.0M	\$+783.0M	\$3,401.0M	1.47x	2.35x	10.2x	Distress Zone (Z = 0.84)
OPRT	Oportun Financial	\$0.24B	\$956.7M	\$+25.2M	\$390.1M	0.25x	0.61x	9.4x	Distress Zone (Z = 0.56)
PGY	Pagaya Technologies	\$1.70B	\$1,301.4M	\$+81.4M	\$480.0M	1.31x	3.55x	20.9x	Grey Zone (Z = 1.87)
SEZL	Sezzle Inc.	\$2.22B	\$450.3M	\$+133.1M	\$169.8M	4.93x	13.08x	16.7x	Safe Zone (Z = 8.55)
SOFI	SoFi Technologies	\$33.87B	\$619.4M	\$+481.3M	\$10,489.5M	54.69x	3.23x	70.4x	Distress Zone (Z = 0.65)
UPST	Upstart Holdings	\$4.41B	\$1,043.9M	\$+53.6M	\$798.8M	4.22x	5.52x	82.25x	Distress Zone (Z = 1.71)
MEDIAN	Peer Group Median	\$2.22B	\$1,043.9M	\$+133.1M	\$1,336.7M	2.31x	3.23x	16.68x	—

- **P/E Ratio of 82.25x**: UPST trades at **4.93x the median profitable peer multiple (16.68x)**. Profitable, established consumer lenders like Enova (12.8x), LendingClub (16.4x), and OneMain (10.2x) trade at single-digit to mid-teen earnings multiples.
- **P/S Ratio of 4.22x**: UPST trades at an **83% premium** over the peer median of 2.31x.
- **P/B Ratio of 5.52x**: UPST trades at a **71% premium** over the peer median of 3.23x.

5. KEY CATALYSTS & INVESTMENT RISKS

Downside Risks (Supporting AVOID Call):

1. **Balance-Sheet Capacity Ceiling**: With total debt at \$1.39B and operating cash flow negative (\$-147.7M), Upstart cannot fund origination growth internally. Any hesitation among institutional ABS partners will force originations back onto the balance sheet, triggering a repeat of the 2022 inventory blowup.
2. **Multiple Compression Threat**: If the market re-rates UPST from an "AI platform" (82x P/E) toward high-growth profitable fintech peers like Sezzle (16.7x P/E) or Pagaya (20.9x P/E), the stock faces **60% to 75% downside re-rating risk**.
3. **Credit Cycle Reversal**: Interest coverage of +1.26x leaves zero cushion for rising net charge-offs or credit provision adjustments under CECL accounting.

Upside Risks (What Would Invalidate Our Thesis):

1. **Committed Capital Acceleration**: Long-term, non-call institutional co-investment agreements exceeding 70% of total originations that eliminate balance sheet credit risk.
2. **Sustained Free Cash Flow Inflection**: Operating cash flow exceeding \$+150M in FY2026, lowering debt and lifting Adapted Altman Z-Score above 2.50.

6. CONCLUSION & RECOMMENDATION

RECOMMENDATION: AVOID / HIGH RISK | VALUATION ASSESSMENT: OVERVALUED

Upstart has proven the elasticity of its AI origination algorithms, but it has not resolved its structural reliance on warehouse credit and institutional partner liquidity. At **82.3x P/E**, investors are paying a premium software multiple for a business sitting in the **Altman Z Distress Zone (Z = 1.71)** with recurring cash burn (\$-147.7M CFO). We advise institutional investors to avoid UPST or rotate into higher-quality, cash-generative peers (e.g. Sezzle at 16.7x P/E with Safe Zone Z = 8.55).

Educational/portfolio research exercise based on public SEC filings; not investment advice.